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Problem statement

Filing income tax returns (ITR) can be a daunting task for many individuals, especially for those who lack understanding of the various deductions and exemptions available. This often leads to errors, missed opportunities for tax savings, and a general sense of anxiety around tax filing season. To address this, we propose the development of an AI-aided income tax filing application designed to assist individual users in India. The app aims to simplify the tax filing process, provide personalized assistance, and educate users on potential deductions and tax-saving strategies.

Market Research

Tax filing population

1) Tax filing population breakup:

Category	Count	% Contri
Individual	68544147	94.44%
HUF	1231205	1.70%
Firm	1483050	2.04%
AOP/BOI	116950	0.16%
Companies	1021520	1.41%
Others	181208	0.25%
Total	72578080	

Data Source:

[ITR Demography](#)
[Individual ITR filers](#)

- ~7.6% of population is currently filing taxes
- 94.44% of taxpayers are individuals comprising salary, freelancers, business, etc
- The aggregate tax liability of Individuals is 43% followed only by the tax liability of companies which is 47%, rest 10% tax liabilities comprised of HUF, Firms, etc.

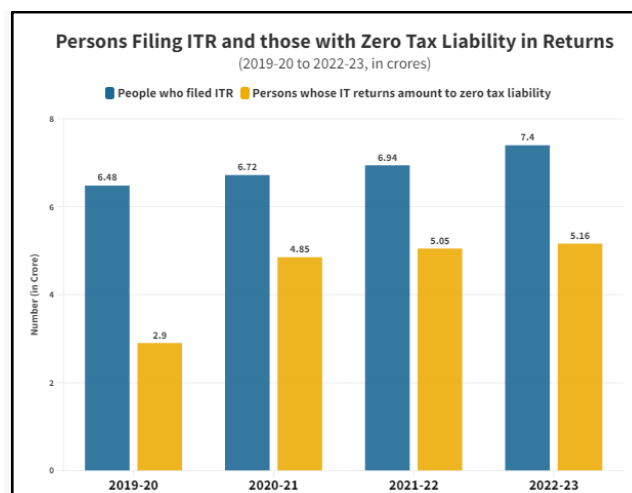
2) Individual taxpayers - Only Salary Income

Individual- Range of Salary Income (AY 2022-23)					
Range (in INR)	No. of Returns	Sum of Salary Income (in Crore INR)	Average Salary Income (in Lakh INR)	% No. of Returns	%Contri Salary Income (in Crore INR)
0	34,514,580	₹ 0	₹ 0.00	50.35%	0.00%
>0 and <=1,50,000	2,390,497	₹ 21,763	₹ 0.91	3.49%	0.74%
>150,000 and <= 2,00,000	1,425,323	₹ 25,609	₹ 1.80	2.08%	0.87%
>2,00,000 and <=2,50,000	1,622,756	₹ 37,413	₹ 2.31	2.37%	1.26%
>2,50,000 and <= 3,50,000	3,003,622	₹ 90,939	₹ 3.03	4.38%	3.07%
>3,50,000 and <= 4,00,000	1,588,359	₹ 59,588	₹ 3.75	2.32%	2.01%
>4,00,000 and <= 4,50,000	1,701,512	₹ 72,515	₹ 4.26	2.48%	2.45%
>4,50,000 and <= 5,00,000	1,563,444	₹ 74,487	₹ 4.76	2.28%	2.52%
>5,00,000 and <= 5,50,000	1,578,778	₹ 83,161	₹ 5.27	2.30%	2.81%
>5,50,000 and <= 9,50,000	10,744,735	₹ 775,778	₹ 7.22	15.68%	26.22%
>9,50,000 and <= 10,00,000	758,748	₹ 73,935	₹ 9.74	1.11%	2.50%
>10,00,000 and <=15,00,000	4,076,332	₹ 489,003	₹ 12.00	5.95%	16.53%
>15,00,000 and <= 20,00,000	1,457,638	₹ 250,001	₹ 17.15	2.13%	8.45%
>20,00,000 and <= 25,00,000	698,144	₹ 155,674	₹ 22.30	1.02%	5.26%
>25,00,000 and <= 50,00,000	1,071,147	₹ 357,143	₹ 33.34	1.56%	12.07%
>50,00,000 and <= 1,00,00,000	252,046	₹ 169,067	₹ 67.08	0.37%	5.71%
>1,00,00,000 and <=5,00,00,000	91,425	₹ 159,215	₹ 174.15	0.13%	5.38%
>5,00,00,000 and <=10,00,00,000	3,405	₹ 23,195	₹ 681.21	0.00%	0.78%
>10,00,00,000 and <=25,00,00,000	1,264	₹ 18,715	₹ 1,480.59	0.00%	0.63%
>25,00,00,000 and <=50,00,00,000	271	₹ 9,464	₹ 3,492.35	0.00%	0.32%
>50,00,00,000 and <=100,00,00,000	89	₹ 5,988	₹ 6,727.73	0.00%	0.20%
>500,00,00,000	0	₹ 0	₹ 0.00	0.00%	0.00%
Total	68,544,147	2,959,017			

- **Concentration of Taxpayers:**
 - 88% of the total tax-paying salaried population with income purely from salary has a salary of less than 10L
- **Income Distribution:**
 - The above 88% contributes to 45% of the total contribution in salaried ITR income
 - 9% of individuals fall between the salary range of 10L-25L contributing 30% to the salaried ITR income
 - And 2% of salaried individuals with a salary above 25L contribute 25% to the salaried ITR income.
- **Low to Moderate Income Brackets:**
 - The majority of returns come from lower income brackets (₹0 to ₹5,00,000), indicating a broad base of taxpayers
 - In this around 50% of salaried individuals pay “0” tax (₹0 as tax)

Market Overview

- The Tax filing market in India is growing at a fast pace, both offline and online.
 - A total of 8.18 cr people filed ITR in AY 23-24 a growth of 9% from AY23-24.
 - This growth has doubled in the last 10 years and is expected to grow steadily in the coming years tightly coupled with India's growth.
 - Gross Good and Services Tax (GST) filing too has been seeing a record 11.5% YOY growth and revenue for March 2024 was second highest ever at ₹1.78 lakh cr.
 - In AY23-24, 49.18% of ITR-1, 11.97% of ITR-2 , 11.13% of ITR-3 , 26.77% of ITR-4 and 0.94% of ITR-5 to 7 were filed
- Over 46% of ITRs (AY23-24) are filed using the govt e-filing portal and 54% filed using offline ITR utilities.
 - This is a highly unorganised sector, and it is unclear how many filers do it themselves or get it done with the help of a CA.
- Complexity of the tax-system and need for an easier solution for ITR filing has led to the emergence of third party Tax filing platforms.
 - These platforms provide a simpler UI and the option to connect with a CA through their platforms for a fee.
- Leading amongst them is ClearTax (now Clear) that provides a simple interface for users to file their taxes.
 - In a recent interview they revealed they allegedly filed 10% of India's income tax. Clear's revenue jumped to 100 cr in FY23.
- Although, rate of ITR filing has been steadily increasing year on year, almost 70% of ITR filed in FY23 were zero tax liability ITRs

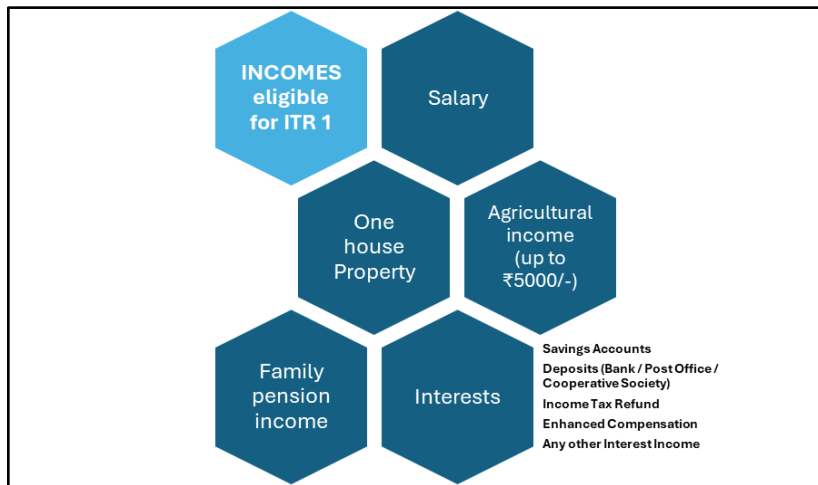


- As per a report by Motilal Oswal, filing through a CA entails a cost of Rs. 1500-2000. Using this data TAM for the tax filing in India would approximately be Rs 20,450 cr, considering 8.18 cr ITRs were filed in AY23-24.

Process of tax filing

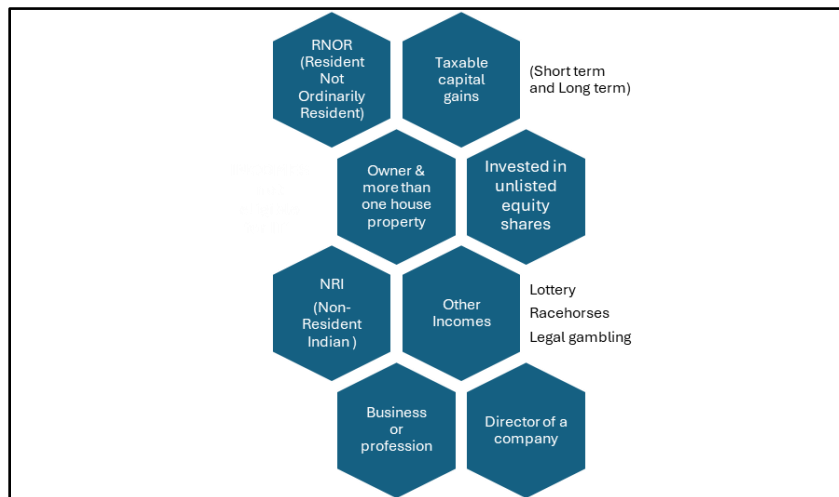
Process of Tax Filing (Salaried Individuals)

- Eligibility to file ITR-1 for AY 2024-25 -
 - **Total income** does not exceed ₹ 50 lakh during the FY.



- Who is not eligible to file ITR-1 for AY 2024-25?
 - **Total income** exceeds ₹ 50 lakh during the FY.

- Individual has tax deduction under section 194N of Income Tax Act



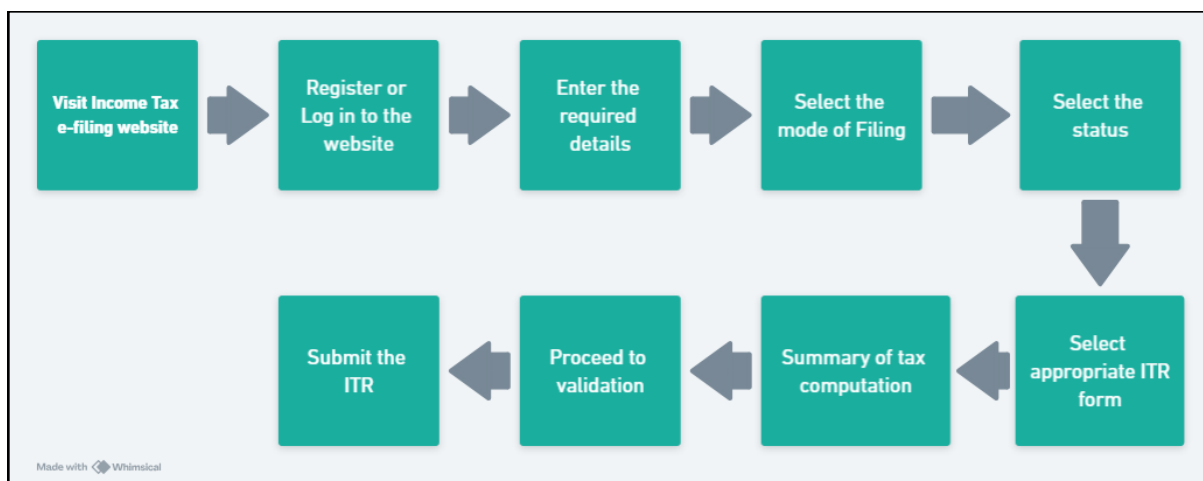
- Individual has deferred income tax on ESOP received from employer being an eligible start-up

Documents Required for tax filing -

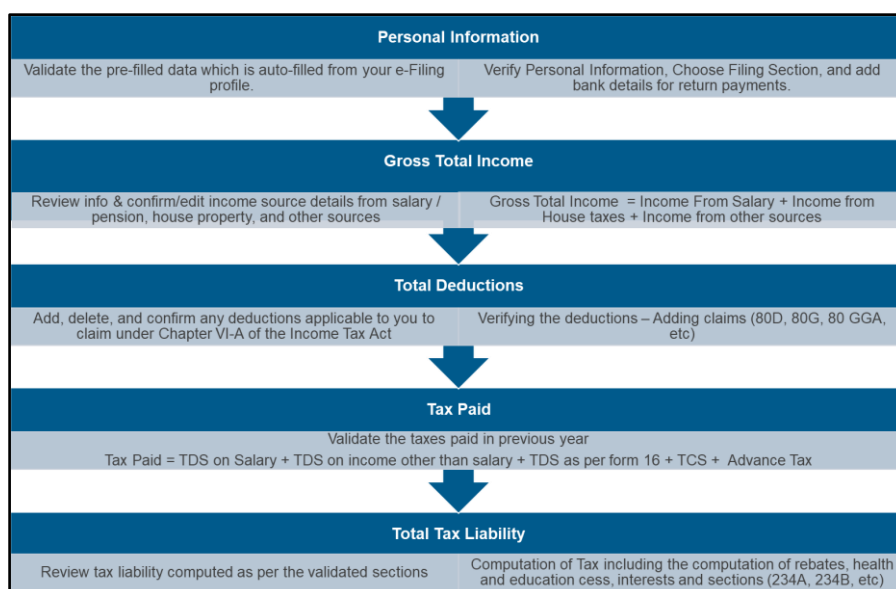
Aadhaar card	PAN card	Bank account details	Form 16
Form 26AS	Bank statements	Capital gains details	Interest certificates
Investment proofs	Dividend income	Home loan statement	Receipts
Health insurance premium receipts	Rental income proofs		

- How to Access and Submit ITR - 1
 - Online Mode – through e-Filing portal
 - Offline Mode – through Offline Utility

Overview of Tax Filing online process -



Breakdown of ITR filing process -



ITR Filing Timelines

April	Based on your investments	Last Date to File return – 31 July (if not extended).
• Declare investments to Employer • Choose tax regime	• Employer calculates tax which is deducted at source every month	• If you miss filing within the due date, you can still file a belated return before December 31, 2024.

What Happens if You Miss the ITR Filing Deadline?

- **Interest:** Liability of interest at a rate of 1% per month or part month on the unpaid tax amount

- **Late fee:** Rs.5,000, which shall be reduced to Rs.1,000 if your total income is below Rs.5 lakh.
- **Loss Adjustment:** In case of incurred losses (from stock market, mutual funds, etc) you can carry them forward and offset them against your income in the subsequent year (not applicable if you miss ITR filing deadline)
- **Updated return:** If you miss the 31st December deadline, still you can file the updated (ITR U) return subject to the conditions specified therein

[Detailed Tax Filing Process](#)

Competitor Analysis

Features/Service	ClearTax	TaxBuddy	MyITReturn	E-portal
User Interface	Simple	Simple	Simple	Complex
Tax Planning	Detailed	Personalized	Basic	Not Available
Filing Process	Very helpful	Chat based	Basic	Complicated
Live Chat support	Available	Chat Bot	Chat Bot	Chat Bot
Live Video Call assistance	Available	Not Available	Not Available	Not Available
Integration with external apps to fetch data for stocks, MF, crypto, etc	API Available	Not Available	Not Available	Not Available
Automation	Advanced	Moderate	Moderate	Not Available
Document Management System	Yes (OCR Technology used)	Not Available	Not Available	Not Available
Customer Support	Moderate	Comprehensive	Moderate	Not Available
Add-On Services	Investment plans, GST filing, etc	Investment plans, GST filing, etc	Not Available	Not Available
Pricing	High for premium	Personalized	Cheapest	Free
Tax Notice Management	Available	Available	Not Available	Available
Mobile App	Available	Available	Not Available	Not Available

Govt regulations

Tax Slabs (Major Components)

Income Range (₹)	Old Regime: Tax Rate (Age Below 60 Years)	Old Regime: Tax Rate (Age 60-80 Years)	Old Regime: Tax Rate (Age Above 80 Years)	New Regime: Tax Rate for All Ages
Up to 2,50,000	Nil	Nil	Nil	Nil
2,50,001 - 3,00,000	5%	Nil	Nil	5%
3,00,001 - 5,00,000	5%	5%	Nil	5%
5,00,001 - 7,50,000	20%	20%	20%	10%
7,50,001 - 10,00,000	20%	20%	20%	15%
10,00,001 - 12,50,000	30%	30%	30%	20%
12,50,001 - 15,00,000	30%	30%	30%	25%
Above 15,00,000	30%	30%	30%	30%

Deductions List

- The old regime of the ITR filing process provides taxpayers with a list of exemptions and deductions that can be claimed to save taxes for individuals.

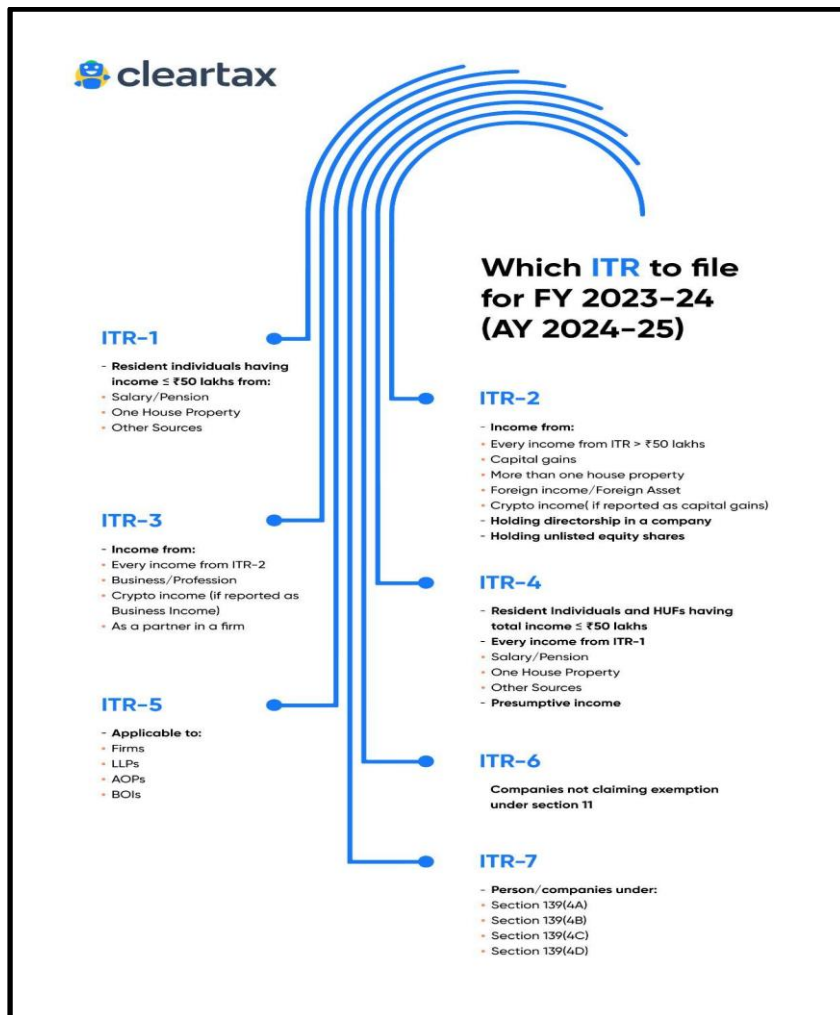
A detailed list of exemptions can be found here: [Survey form](#)

Types of ITR Forms:

The Income Tax Department of India provides various ITR forms for different taxpayer categories. Here's a brief overview of the scope of the ITR and a diagram that shows each ITR and who can fill it out.

- **ITR-1** This is the simplest form for resident individuals with income from salary, pension, one-house property, and other income sources like interest on bank deposits. (<https://cleartax.in/s/itr1>)
- **ITR-2** This form is for individuals with income from capital gains, foreign income, or business/profession. (<https://cleartax.in/s/itr2>)

ITR Form	Applicable to	Salary	House Property	Business Income	Capital Gains	Other Sources	Exempt Income	Lottery Income	Foreign Assets/For	Carry Forward
ITR-1 / Sahaj	Individual, HUF (Residents)	Yes	Yes(One House)	No	No	Yes	Yes	No	No	No
ITR-2	Individual, HUF	Yes	Yes	No	Yes	Yes	Yes	Yes	Yes	Yes
ITR-3	Individual or HUF, partner in a Firm	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
ITR-4	Individual, HUF, Firm	Yes	Yes(One House)	Presumptive Business	No	Yes	Yes	No	No	No
ITR-5	Partnership Firm/ LLP	No	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
ITR-6	Company	No	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
ITR-7	Trust	No	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes



People Who Must File ITR

You must file income tax returns if, amongst others:

1. Total income ≥ ₹2.5 lakh
2. Company or firm
3. Seeking a tax refund
4. Carrying forward losses
5. Holding foreign assets/signing authority abroad

6. Income from trust property
7. Political party/university/institution/specified person
8. Infrastructure/real estate/alternative investment trust

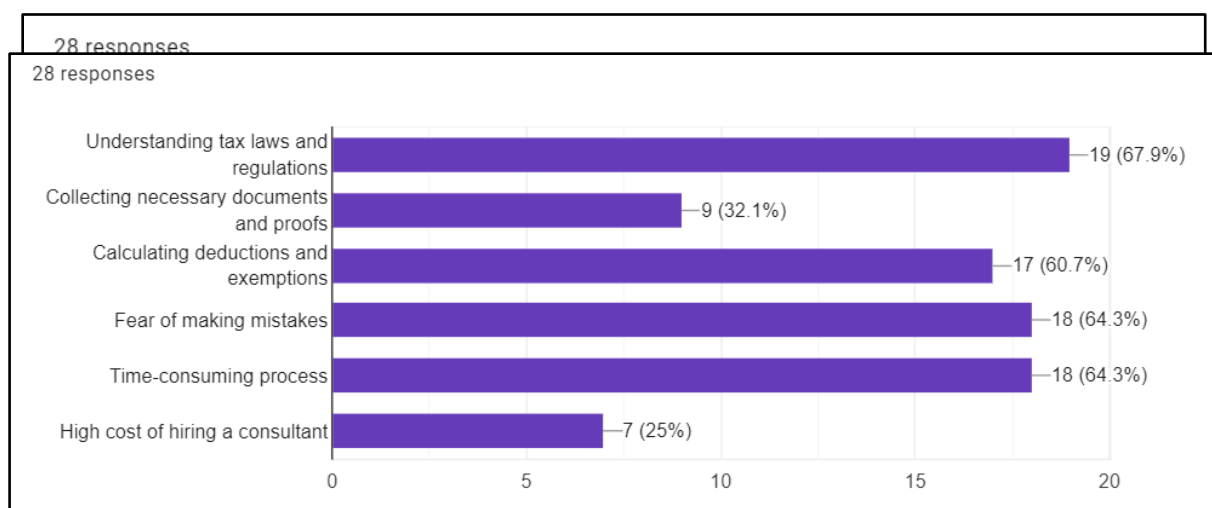
Consequences of Not Filing ITR

- **Penalty Charges:**
 - Late fee of ₹5,000 for filing ITR after the due date.
 - If annual income is < ₹5 lakh, late fee limited to ₹1,000.
 - No penalty if gross income is below the basic exemption limit.
- **No Carry Forward of Losses:**
 - Declare investment losses in ITR before the deadline.
 - Late filing prevents carry forward and set-off against future profits.
 - Exception: House property losses can still be carried forward.
- **Interest on Tax Amount:**
 - Section 234A: 1% per month interest on outstanding tax.
 - Calculated from due date till payment.
 - Example: Owing ₹2 lakh, 8 months late incurs ₹16,000 interest (2 lakh × 8%).
- **Prosecution for Non-Filing:**
 - Income Tax Liability > ₹25,000: 6 months to 7 years imprisonment and a fine.
 - Income Tax Liability < ₹25,000: 3 months to 2 years imprisonment and a fine.

User Surveys

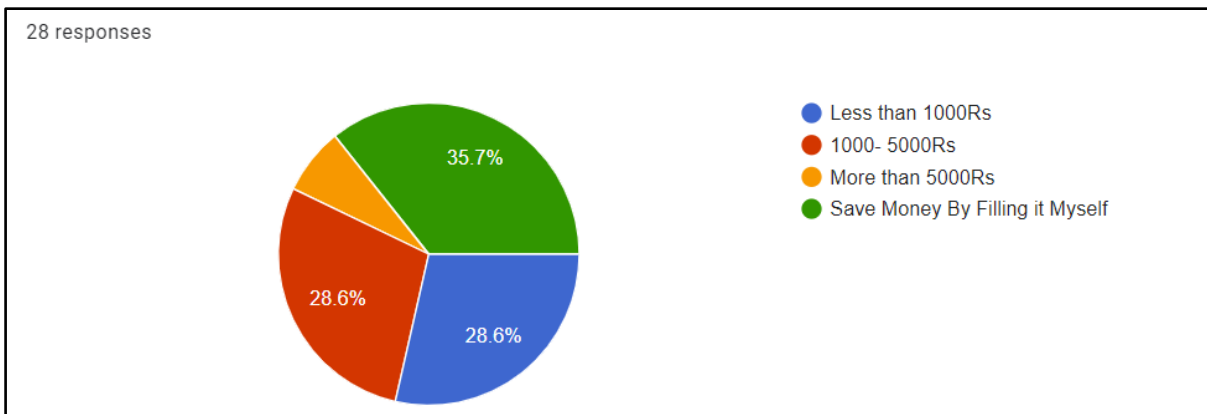
Survey Forms

- **People filing their own ITR vs People getting it filed through some third-party**

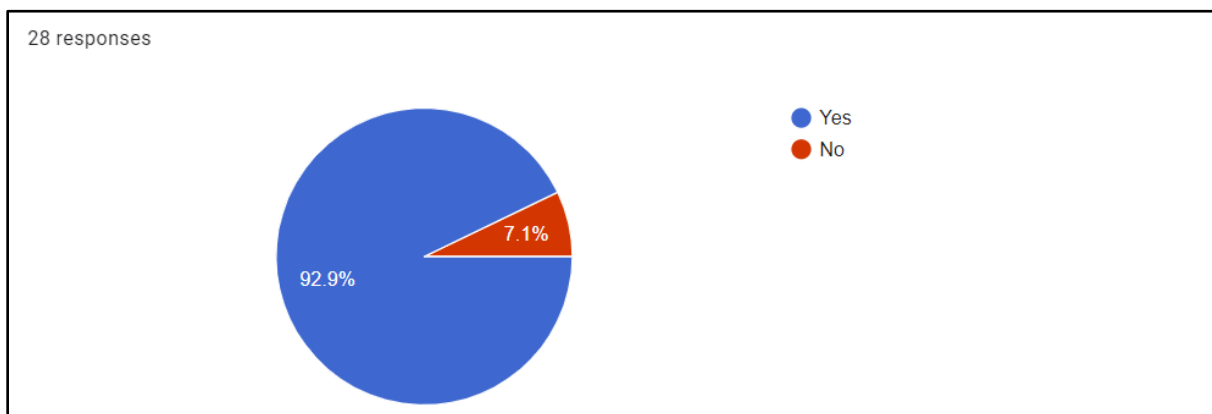


- **Problems faced during ITR Filing process for surveyed individual taxpayers**

- The data shows the amount paid to either CA or a third-party platform while filing an ITR



- The data shows what % of surveyed individual taxpayers will pay their own taxes if they are guided properly



Insights from User Forms:

- **Motivation:** The main reasons for self-filing ITR are curiosity to learn and saving money.
- **Complexity:** Simple ITRs are manageable independently, but complexities like capital gains and home loans often require professional help.
- **Tax Laws:** Understanding and staying updated with tax regulations is challenging.
- **Exemptions:** Many users struggle to utilize all available tax exemptions.
- **Time-Consuming:** The ITR filing process is perceived as lengthy and time-consuming.
- **Professional Fees:** Most users end up paying fees to CAs or third-party platforms for filing their ITR.
- **Openness to Platforms:** Users are generally open to using third-party platforms for ITR filing.

Link for User Survey: [ITR survey](#)

User Interviews

Insights from Interviews with Different Personas

1. Trust Factor:

- Government employees and some salaried individuals rely on trusted friends, colleagues, or CAs for tax filing.
- Trust is a significant factor in choosing external help for tax filing and financial planning.

2. Complexity with Additional Income:

- Salaried individuals with additional income from investments, stocks, or loans find tax filing more complex.
- Opting for a CA helps avoid mistakes and ensures a risk-free process.

3. Learning from Experts:

- Some individuals learn tax filing from experts (e.g., family members who are CAs) and prefer to file on their own.

4. Challenges with Capital Gains and Deductions:

- Calculation of capital gains and deductions is challenging and time-consuming.
- There is a need for simplified tools to handle complex calculations for individuals with multiple investments.

5. Experiences with CAs:

- Not all CAs provide satisfactory services; finding a suitable CA can be difficult.
- There is a trust deficit with CAs not prioritising individual clients, leading to bad experiences.
- **Individual Focus:** Some clients feel that CAs don't prioritise individual cases adequately.
- **Selecting the Right CA:** Choosing a suitable CA can be a daunting task, but it's essential for a successful financial partnership.

Link for User Interview: [survey form](#)

Insights from Market Research

- 84% of the population currently falls under the income of 9.5L with a contribution of 31% in taxes
- People claiming zero-tax liability increased to 70% in 2022-23 from 45% in 2019-20
- As soon as more components like home loans or capital gains or multiple form 16 are added to the ITR filing process, the tendency is to approach CA rather than filing by themselves.
- The ITR filing process is lengthy and time consuming for individuals

- Regulations keep on updating every year which becomes difficult for everyone to educate about it
- Major reasons for people not filing their own ITR are lack of education for filing, tax saving schemes, complexity of the process, fear of penalties and prosecution, etc
- CAs majorly focus on HNIs or businesses and they delegate the work to their juniors doing articleship under them which can lead to more mistakes (User interview)
- Trust in third party platforms for sharing data is low

Problems highlighted from the Insights

1. **Educational Gap**
 - **Problem:** Insufficient financial knowledge leads to errors and inaccuracy.
2. **Complex ITR filing**
 - **Problem:** Overly complex filing process deterring accurate submissions.
3. **Regulatory Changes**
 - **Problem:** Constantly evolving rules cause confusion and disarray.
4. **Information Consolidation**
 - **Problem:** Difficulties in calculations, merging data from multiple documents and forms
5. **Fear of Mistakes**
 - **Problem:** Anxiety about errors, penalties, and prosecution preventing self-filing
6. **Document Gathering**
 - **Problem:** Challenges in collecting necessary documentation
7. **Trust Issues**
 - **Problem:** Reluctance to use third-party services due to privacy concerns or data violation.

User Personas

Persona	Persona 1	Persona 2
Name	Rajesh	Vandana
Age	23	27
Gender	Male	Female
Income	7 LPA	10 LPA
Background	Working as a software engineer in Bangalore and pays 0 taxes due to the income falling in the 0 tax bracket but still files the taxes through CA	Marketing professional with work experience of 4 years in Mumbai and pays some amount of taxes
Pain Points	➤ Seeks assistance from CAs as he doesn't understand the ITR process and the govt ITR website seems daunting with Jargons ➤ Has to pay 1500 rs to his CA for their services.	➤ Unaware of how to save tax using exemptions. Is not well versed with tax saving schemes, so has to get professional CA services. ➤ Wary of the complexities of the ITR filing process, not able to decide which ITR to fill. ➤ Finds collecting documents for ITR filing a hassle.
Needs	➤ Needs to learn how to fill ITR well enough to file it himself ➤ Needs a solution that handholds him throughout the whole filing process.	➤ Needs a recommendation of where and how his taxes can be saved based on his financial data. ➤ Needs a simpler process to file taxes.

Solutions

High Priority	Medium Priority	Low Priority
Document Management System (DMS):	Multilingual Support:	Educational Tools:
➤ Automatically retrieve documents using PAN card through API integration with platforms and can also manually upload them ➤ Labels them accurately, and uploads them in relevant proof categories	➤ Enhance user experience and compliance accuracy through seamless navigation in multiple languages	➤ Interactive quizzes and games to enhance tax filing knowledge, with users' performance contributing to leveling up their community profile, fostering engagement and learning
Tax Calculation and Optimization:	Regime and Savings Analysis:	
➤ Calculates tax based on available documents in DMS, use AI-driven questioning to identify additional investments or missing documents ➤ Suggests the optimal tax regime (old vs new), and autofills all deduction sections with data from gathered documents for comprehensive and efficient tax filing	➤ Displays tax liabilities regime-wise and compares last year's (LY) versus current year's (CY) tax savings, providing a clear financial overview and planning aid	

Interactive Guidance and Personalization:	Online Forums and Community Engagement:	
➤ Step-by-step guidance through the entire tax filing process with interactive AI ➤ Offers personalized tax-saving suggestions based on user persona, and recommends potential savings and investments to maximize tax benefits	➤ Online forums for discussing tax-related questions and answers, coupled with a badge system that rewards active community members with monetary benefits to encourage robust participation	
Chatbot and Voice Interaction:	Regular Reminders:	
➤ AI chatbot that answers tax-related queries through chat or voice and provides summaries of related articles and videos upon request, enhancing user understanding and engagement	➤ Sends quarterly reminders to users about investment opportunities and upcoming tax-related deadlines, ensuring timely financial actions and compliance	
Data Security and Trust:		
➤ Provides users with the option to delete their data, enhancing trust and control over personal information on the tax platform		

Metrics

NSM - Total no. of ITR filed by individuals

Solution	Metrics to be tracked
Document Management System (DMS)	1. % of total users who have used the feature at least once 2. % of documents automatically retrieved via PAN card without errors 3. % of documents labeled correctly 4. % of documents uploaded in current proof categories automatically
Tax Calculation and Optimization	1. number of users who used the AI tool to check for missing documents 2. number of users who used AI tool to identify additional investments 3. Question Accuracy: Percentage of correctly identified missing documents or additional investments based on AI-driven questions. 4. Number of users who used the AI tool for suggestion on the tax regime 5. Number of applications in which autofill was used
Interactive Guidance and Personalization	1. Track total users who complete tax filing using the system. 2. Measure the average time taken by users to complete tax filing. 3. Identify stages where users tend to drop off during tax filing. 4. Count total personalized tax-saving suggestions and investment recommendations given. 5. Track the percentage of users who follow through with personalized suggestions.
Chatbot and Voice Interaction	1. No. of queries asked per user 2. No. of users using the chat feature 3. Response accuracy using the feedback of users
Data Security and Trust	1. No. of user ratings(less than/equals 3) where data security issues is mentioned 2. No. of Data Deletion Requests